

Subaru

Hold Recommendation

HOLD

Subaru combines a resilient North American SUV franchise with a conservative balance sheet, but near-term earnings remain under pressure from tariffs, FX, and electrification spending.

Investment view. Subaru remains differentiated in all-wheel-drive SUVs and enters the current downturn with strong liquidity and modest leverage. That financial flexibility supports localization, hybrids, and BEV investment. However, the FY2026 earnings reset is severe, and a durable re-rating likely requires clearer evidence that margins can recover despite tariffs, yen strength, and higher R&D intensity.

Company Snapshot

Ticker	7270 JP
HQ	Tokyo, Japan
Founded	1917
View	Hold
Core	Automobiles
Key market	North America
Equity Ratio	52.48%

1 Business & Financial Analysis

1.1 Business Model and Key Revenue Drivers

Subaru, formerly Fuji Heavy Industries Ltd., adopted its current corporate name in April 2017. Founded in 1917 and headquartered in Tokyo, it is primarily an automobile manufacturer. The automotive segment generated 97.5% of revenue in FYE2025 and remains the company's clear economic engine through vehicle manufacturing, sales, after-sales service, and component activity. Subaru also operates smaller aerospace and space-related businesses focused on aircraft inspection, servicing, and maintenance.

1.2 Geographic Exposure

Subaru's revenue base is highly concentrated in North America and Japan, which accounted for 77.4% and 20.1% of total revenue in FYE2025, respectively. This concentration is strategically positive in strong U.S. auto cycles, but it also raises exposure to U.S. tariffs, USD/JPY volatility, and Japan's structurally weaker demographic backdrop. The limited presence in several large markets, including India, further increases dependence on a narrow set of profit pools.

1.3 Financial Analysis

Over the last five years, Subaru has demonstrated resilience despite COVID-19-related disruption. Revenue increased from JPY 2.83tn in FYE2021 to JPY 4.69tn in FYE2025, while operating income rose from JPY 104.1bn to JPY 413.0bn. The expansion reflects stronger North American demand, supportive FX, and disciplined cost control.

The balance sheet remains conservative. At March 31, 2025, cash and cash equivalents were JPY 941.5bn, and total cash plus short-term financial assets reached roughly JPY 1.84tn by late 2025. This liquidity is important because capital expenditure has also increased materially, from JPY 86.2bn in March 2021 to JPY 176.1bn in March 2025, as Subaru funds capacity, hybrid rollout, and electrification.

Table 1: Selected financial indicators

Metric	FYE2021	FYE2025	Change
Revenue	JPY 2.83tn	JPY 4.69tn	+65%
Operating income	JPY 104.1bn	JPY 413.0bn	Strong expansion
Capital expenditure	JPY 86.2bn	JPY 176.1bn	+104%
Cash and cash equivalents	–	JPY 941.5bn	High liquidity

2 Industry Analysis

2.1 Industry Conditions

The global automotive industry is being reshaped by electrification, supply-chain normalization, and a sustained consumer preference for SUVs and crossovers. Subaru is aligned with this trend because its U.S. sales mix is concentrated in AWD crossovers, the strongest part of the market. In 2024, Subaru delivered

667,725 U.S. units, up 5.6% year on year, and achieved 32 consecutive months of retail sales growth through March 2025.

Three structural pressures now weigh on the earnings outlook. First, electrification is capital-intensive for a smaller OEM. Second, Subaru remains exposed to FX because much of the cost base is yen-denominated while a large share of revenue is generated in U.S. dollars. Third, U.S. import tariffs are the most important near-term risk to profitability.

2.2 U.S. Tariff Impact

The U.S. tariff shock remains the clearest earnings headwind. The United States imposed an additional 25% tariff on imported autos effective April 3, 2025. A later U.S.–Japan framework reduced the Japanese auto tariff rate to 15%, but import exposure remains meaningful for Subaru even as localization increases.

For the first nine months of FYE2026, Subaru reported revenue of JPY 3,519.0bn and operating profit of JPY 66.3bn, down 82.0% year on year. Its February 2026 full-year forecast calls for revenue of JPY 4,800.0bn and operating profit of JPY 130.0bn. That magnitude of compression justifies a cautious recommendation.

Table 2: Illustrative model-level tariff exposure in the U.S. market

Model	2024 U.S. units	Production	Tariff exposure
Crosstrek	181,811	Japan + USA (Indiana)	Partial / mixed exposure
Forester	175,521	Transitioning to U.S. assembly	Lower than before
Outback	168,771	USA (Indiana)	None - U.S.-produced
Ascent	56,286	USA (Indiana)	None - U.S.-produced
Solterra	12,447	Japan	Full imported exposure

2.3 Foreign Exchange Risk

Subaru's operating model creates a structural long-USD / short-JPY exposure. Costs remain predominantly yen-based while a large share of revenue is linked to the U.S. market. As a result, currency swings can be more influential than pricing or volume in determining operating profit.

Table 3: FX backdrop and operating profit sensitivity

Fiscal year	Avg. USD/JPY	Operating profit	FX role
FY2024	~JPY 145	JPY 468bn	Weak yen was a major tailwind
FY2025	~JPY 149	JPY 405bn	Tailwind faded as yen stabilized
FY2026F	Strengthening yen	JPY 130bn	Yen plus tariffs create a double headwind

2.4 Electrification and Toyota Partnership

Subaru's manufacturing base remains centered on Japan, especially Gunma Prefecture, while its strategic partnership with Toyota is central to the transition toward electrification. The Solterra, Trailseeker, and Uncharted BEVs are co-developed with Toyota, and the 2026 Forester and Crosstrek hybrids use Toyota's fifth-generation hybrid system. This materially reduces Subaru's platform-development burden and lowers execution risk.

The Yajima plant was upgraded in January 2026 for flexible BEV, ICE, and HEV production. This mixed-line approach is strategically valuable because it avoids the utilization risk often associated with dedicated EV-only facilities.

2.5 Market Share and Competitive Position

Subaru holds about 4% of the U.S. auto market but has a stronger niche position in AWD compact crossovers. The Crosstrek and Forester compete with the Toyota RAV4 and Honda CR-V, yet Subaru differentiates itself by offering standard Symmetrical AWD across the lineup. That AWD-native identity remains its clearest competitive moat.

The main threats come from Mazda, Jeep, and increasingly from AWD-standard BEVs such as the Tesla Model Y and Hyundai-Kia EV models. Even so, Subaru's loyalty, reliability perception, and durable vehicle parc continue to support brand retention.

3 Investment Thesis

A **Hold** recommendation remains the most defensible conclusion. Subaru still has a differentiated position in AWD SUVs and crossovers, and North America remains the group's economic core. The company also enters this weaker earnings period with strong liquidity, a 52.48% equity ratio, and additional committed funding capacity, all of which reduce solvency risk and preserve investment flexibility.

The reason not to recommend **Buy** is the sharp deterioration in the earnings outlook. In the first nine months of FYE2026, operating profit fell 82.0% year on year to JPY 66.3bn, and the February 2026 full-year forecast implies only JPY 130.0bn of operating profit, down 67.9% from FYE2025. Management attributes the decline to tariffs, higher expenses, and elevated R&D.

Three catalysts matter most. First, **localization**: expanded U.S. Forester production should reduce tariff and FX sensitivity if ramp-up is smooth. Second, **hybrids**: stronger take-up of the 2026 Forester Hybrid and Crosstrek Hybrid could improve mix and fuel-efficiency appeal. Third, **disciplined electrification**: if Subaru can broaden its HEV and BEV lineup without materially damaging returns, investors may increasingly view FY2026 as a trough rather than a new structural earnings base.

The main downside catalysts remain renewed tariff friction, stronger yen, and softer U.S. demand. Overall, Subaru looks financially solid but still needs clearer evidence of margin recovery before a more constructive rating is justified.

4 Valuation Analysis

4.1 Intrinsic Valuation (DCF)

In the five-year unlevered DCF model, beta was estimated at 1.18 using a regression of Subaru common stock returns against the MSCI Japan Index. Assuming a 10-year risk-free rate of 2.4%, a Japanese corporate tax rate of 26.62%, and the selected capital-structure assumptions, the resulting WACC is 7.51%. Applying a conservative terminal EBITDA multiple of 4.0x yields an estimated value of JPY 3,854.35 per share, implying 50.31% upside to the reference price of JPY 2,527.

4.2 Relative Valuation (Peer Multiples)

Relative valuation also indicates a discount. Subaru's EV/EBITDA multiple of 1.05x sits materially below the peer median of 7.47x for Toyota, Honda, Mazda, and Suzuki. The discount is partly explained by Subaru's high cash balance and low leverage, which compress enterprise value. On this basis, peer multiples imply an estimated share price of JPY 4,225.56.

Table 4: Valuation summary

Method	Implied value / share	Reference price	Implied upside
DCF valuation	JPY 3,854.35	JPY 2,527	41.58%
Peer multiples	JPY 4,225.56	JPY 2,527	50.31%

4.3 Conclusion

Despite both our valuation methods suggesting that Subaru stock is undervalued on a fundamental basis in the five-year horizon, our investment thesis is to remain cautious. We believe Subaru is currently caught in a "value trap" until the clarity of U.S. trade policy and other macro shocks improves. The market underpricing Subaru despite its massive cash reserves suggests that investors expect its capital to be consumed by the high R&D costs of the EV transition or eroded by near-term tariff impact. For a re-rating to occur, Subaru must improve its key multiple ratios and demonstrate an ability to pass costs to the U.S. consumer or successfully pivot into the era of electrification. In addition, investors will likely need evidence that capital allocation remains disciplined as EV and hybrid spending accelerates. Until management proves that earnings normalization can coexist with the transition strategy, valuation upside alone is unlikely to be enough to drive sentiment.

5 Risks

5.1 Investment Risks

Subaru's central risk is not solvency but sustained earnings weakness. The balance sheet is strong, with low leverage and solid liquidity, so financial distress looks limited. The real question is whether margins can recover enough to support a higher trading multiple.

Tariffs remain the largest external risk because the United States is Subaru's main market. Higher import costs could continue to pressure margins if they are not offset by pricing, localization, or product mix. FX is another key risk: a stronger yen would hurt profitability because North American earnings are translated against a largely Japan-based cost structure.

Subaru is also concentrated in North America and in SUVs and crossovers. That makes the company vulnerable to weaker U.S. demand, more aggressive competition, or execution issues in localization and hybrid rollout.

5.2 Scenario Analysis

In the **base case**, tariffs remain elevated but stable, demand holds up, and earnings recover gradually from FYE2026 trough levels. This supports a Neutral/Hold view.

In the **bull case**, tariff pressure eases, localization executes smoothly, hybrids gain traction, and margins recover faster than expected. In that case, the stock could re-rate toward a more normalized multiple.

In the **bear case**, tariffs remain high, the yen strengthens, and U.S. demand weakens. Under that scenario, profitability could remain depressed and the stock may de-rate further.

Overall, Subaru's balance sheet limits downside from a solvency perspective, but upside depends on proving that the current earnings weakness is cyclical rather than structural.

6 References

Financial statistics: <https://www.capitaliq.com/CIQDotNet/Financial/KeyStats.aspx?CompanyId=874322&statekey=1094b904085749478d2898ec4dcaff40>

Corporate profile: <https://www.subaru.asia/mig/en/about-us/subaru.php>